

Meeting Name:	Overview and Scrutiny Committee
Date:	7 January 2026
Report title:	Provisional Local Government Finance Settlement – Briefing Note
Ward(s) or groups affected:	All
Classification:	Open
Reason for lateness (if applicable):	N/A
From:	Strategic Director of Resources

RECOMMENDATION

1. That the Overview and Scrutiny Committee note the contents of this briefing.

BACKGROUND INFORMATION

2. The Provisional Local Government Finance Settlement (PLGFS) is published annually, usually in December, and gives local authorities their provisional grant allocations for the year commencing the following April. During the current financial year, the government have been undertaking a fundamental review of the funding formula (the 'Fair Funding Review'), and changes to the council's allocations were anticipated as a result.

KEY ISSUES FOR CONSIDERATION

3. This briefing is an early and indicative outline of the impact of the PLGFS before detailed modelling has been undertaken and before the full detail of the announcements has been factored into the council's Medium Term Financial Strategy. It is intended to give members an overall sense of the outcome of the Fair Funding Review and the numbers within this briefing are our best approximation of figures, intended to give a sense of scale.

Headlines

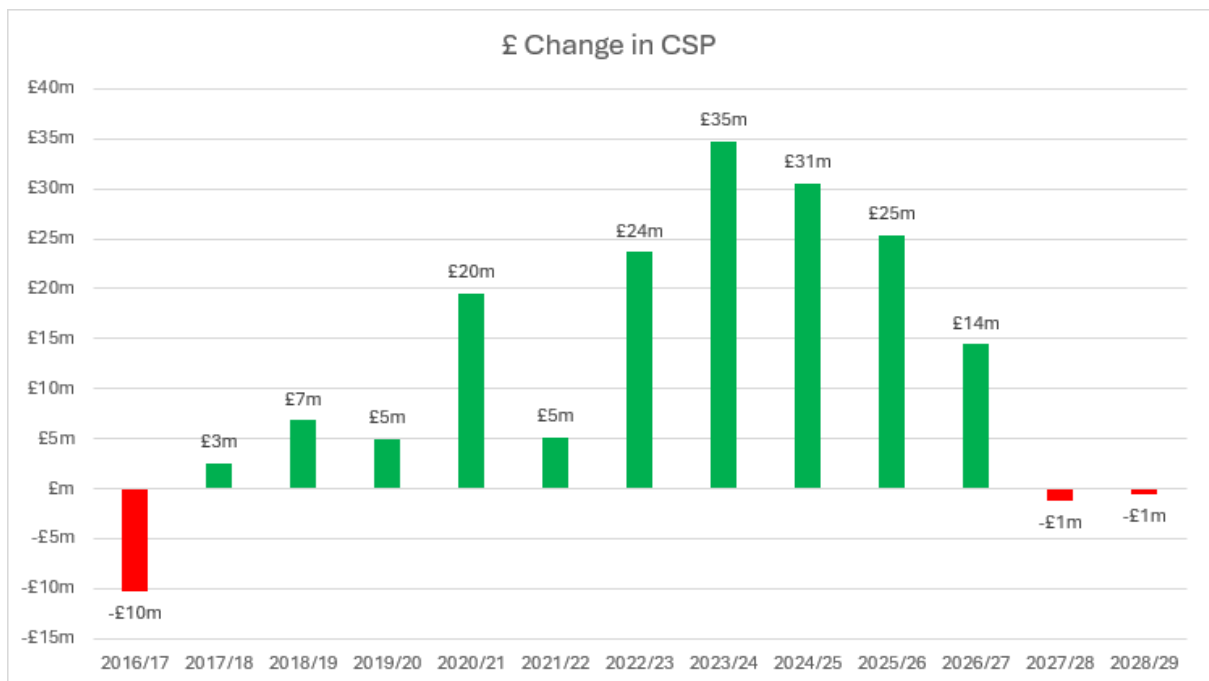
4. A combination of factors including council tax assumptions from MHCLG means that whilst we can expect a boost in funding in 2026/27 (70% of which is our own council tax growth), the settlement then effectively levels out from there with Core Spending Power (CSP) expected to decrease in each of the second two years.
5. In 2026/27 we are on target to deliver a balanced budget, noting it may well require £12m+ of already earmarked reserves to do this.

6. We estimate that the three-year MTFs from April 2027 will leave us with a funding gap of around £80m. Officers are continuing to work to identify savings of approximately £90m in order to provide some cover for the current year overspend of c.£26m.

Detail

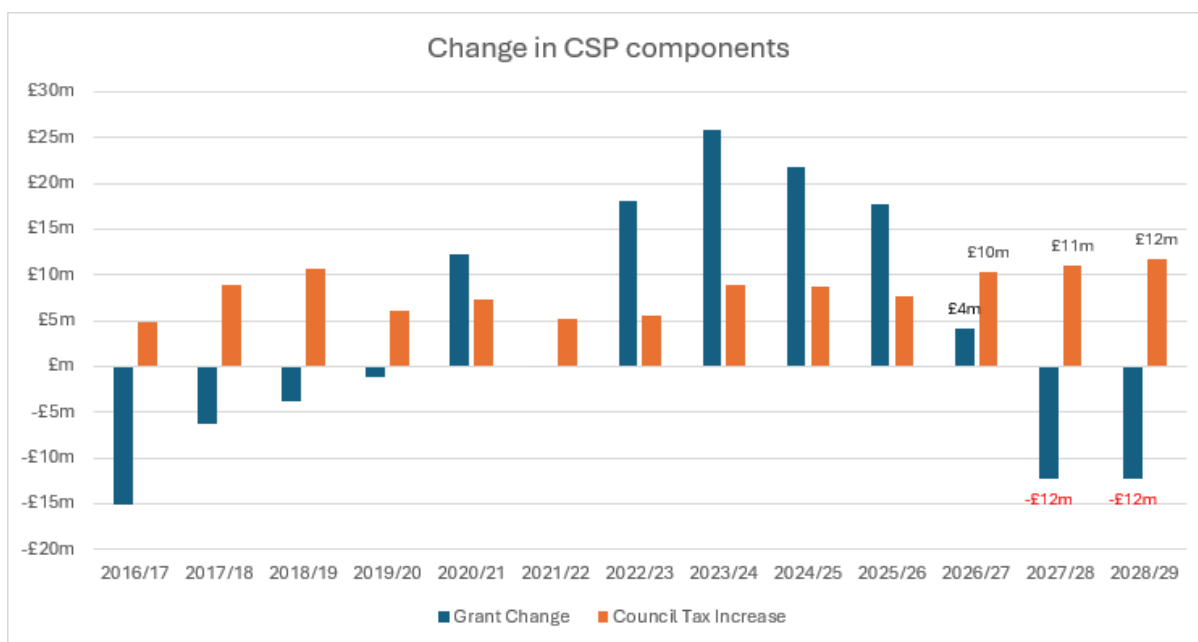
Core Spending Power

7. This is the measure used by government to determine the council's core spending power and how it has changed over the years. The change in this number is the one you'll usually see quoted in the press and on social media. The chart below shows how the council's spending power has changed in each year since 2015/16. It shows CSP going up by about £14.5m next year (2026/27). In 27/28 and 28/29 the council will see small decreases in overall CSP driven by reductions in grant. It's important to see these changes in the context of recent years – the last four consecutive settlements have seen increases in CSP ranging from £24m-£35m. It's this combination of flatlining funding and ongoing inflation that will continue to drive the council's budget gap.



8. The chart above can be further broken down (see below) to show how much of the change in CSP related to Council Tax growth compared with grants coming from central government. What this shows is that there is a grant increase next year of c.£4m, followed by reductions in 2027/28 and 2028/29. By 2028/29, CSP will have grown by £12.7m (2.7%) – all of the growth will

have come from council tax. That £12.7m growth is comprised of a £20.4m reduction in funding from government offset by assumed growth of £33.1m in council tax.



Council Tax

9. As noted above, assumed growth in council tax keeps Southwark's overall funding levels relatively flat over the next three years. However, our own projections are more cautious on Council Tax growth. Officers expect taxbase growth in 25/26 and 26/27 to be slightly negative overall (reflecting what's happening in the housebuilding sector and changes to welfare), then to increase to c.1% annually from 2027/28. MHCLG's estimates are more optimistic, meaning that by 2028/29 they assume the council will collect £189m annually versus officers' current assumption of around £182.5m. We anticipate that over the next three years the council could collect over £15m less in council tax than the government estimates.

Consultation

10. As always, there is a consultation on the proposed settlement – we will respond, particularly with regard to the Council Tax assumptions and the impact that has on our funding floor.